With the gig economy stabilizing post-pandemic, growth and innovation opportunities remain.

Our results reflect the ongoing evolution of the gig economy and nontraditional work arrangements, including the declining impacts of the pandemic's major labor disruptions and related trends (e.g., quiet quitting, the Great Resignation). Fewer workers in this year's survey (23%) say they have a freelance or gig job than said so in the last survey (34%). *See Figure 2.* Gen Z remains the generation most involved with the gig economy: 37% of these young workers have a gig or freelance job today, and many could see such work as their primary source of income in the next five years.

To be clear, gig isn't going away: 42% of those survey respondents (and 59% of Gen Z) who do not currently have freelance or gig jobs say they'd be interested in having one in the next five years.

Given the current economic uncertainties, large majorities of employers – 65% of all employers and 88% of large employers – currently use freelancers and other nontraditional workers. And they plan to rely on them to a greater extent in the future as a flexible option in the continued struggle for talent: 77% of employers and 93% of large employers expect to use freelance labor in the next five years. *See Figure 3.*

Based on this growth, 61% of employers surveyed stated they would consider offering benefits to attract and retain this group of freelance workers. There are, however, potential risks and barriers to adoption, including regulatory oversight regarding how employers classify workers (e.g., W-2 vs. 1099). Industry observers are watching developments related to California Assembly Bill 5 and other states' laws regarding worker classification for insights into future usage of gig and freelance workers.

The benefits gap for gig workers: While freelance and gig workers are largely on their own when it comes to benefits, they are certainly interested in obtaining insurance, retirement savings and other benefits offerings. For employers or carriers to bridge the gap, changes in product design and eligibility and a purpose-built digital marketplace could unlock new possibilities, assuming legal and regulatory questions are resolved.

Figure 2

Worker participation in the gig economy is trending downward.

QUESTION: Instead of (or in addition to) working for a traditional employer (also known as being a W-2 employee), some workers pursue freelance or "gig" work. Which of the following best describes your current work arrangement?

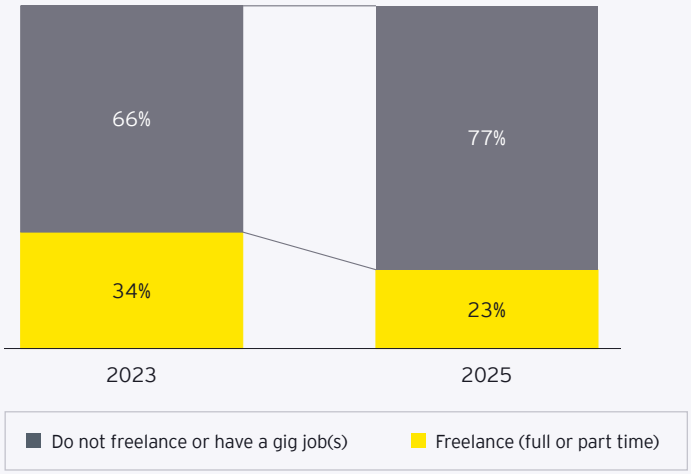


Figure 3

Employers expect to use more freelance workers in the future.

QUESTION: Approximately what percent of your company's workers are currently contract/freelance workers? In five years, what percent of your company's workers will be contract/freelance workers?

